Customer_Retention_Churn_Analysis_Report

Key Business Insights

1. Overall Churn Rate

- The overall customer churn rate is **26.54%**.
- Approximately **1 out of every 4 customers** has discontinued the service.
- This indicates an opportunity to improve customer retention strategies.

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2. Contract Type Analysis

- Customers with **Month-to-Month contracts** have the highest churn.
- Customers with **One-Year** and **Two-Year contracts** show much higher retention.
- Long-term contracts help reduce customer loss.

Recommendation:
Offer discounts or loyalty benefits to encourage customers to switch to long-term contracts.

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3. Internet Service Analysis

- Customers using **Fiber Optic Internet** have a higher churn rate compared to DSL users.
- This may indicate concerns related to pricing, service quality, or customer expectations.

Recommendation:
Review pricing plans and improve service quality for Fiber Optic customers.

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4. Payment Method Analysis

- Customers using **Electronic Check** show higher churn compared to other payment methods.
- Automatic payment methods tend to have better customer retention.

Recommendation:
Promote Auto Pay and credit card payment options through incentives.

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5. Customer Tenure Analysis

- Customers with **shorter tenure** are more likely to churn.
- Long-term customers are generally more loyal and have a lower churn rate.

Recommendation:
Focus on customer engagement during the first few months with onboarding support and personalized offers.

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6. Monthly Charges Analysis

- Customers with **higher monthly charges** tend to have a higher churn rate.
- Price-sensitive customers may leave if they perceive insufficient value.

Recommendation:
Introduce flexible pricing plans or bundle services to improve perceived value.

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7. Gender Analysis

- Churn is relatively balanced between male and female customers.
- Gender does not appear to be a major factor influencing customer churn.

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8. Customer Retention Summary

- Customers with long-term contracts, automatic payments, and longer tenure demonstrate the strongest retention.
- New customers and those on flexible contracts require additional attention to reduce churn.

Overall Conclusion

The analysis shows that **contract type, customer tenure, payment method, and monthly charges** are the primary factors influencing customer churn. Businesses can improve retention by encouraging long-term contracts, promoting automatic payment methods, enhancing customer onboarding, and providing targeted offers to high-risk customer segments.